

**Unit 8****Economic Role of Government****Structure:**

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**8.1 Introduction**

There are divergent views about what role the government should play in the economic and business areas of a nation. One viewpoint is that the governmental role in business should be confined to laying down laws to ensure the smooth functioning of economy, and business should be allowed to remain in the hands of the individual(s), while others believe that the Government should own and control every aspect of business. Between these extreme views ranging from Capitalism to Marxism lie other variants of governmental role in business. Whatever view one may hold, it cannot be denied that the Government does have a role to play.

Business organizations must operate within a framework laid down by the government in power. Even the most open and capitalist economies are governed by the laws laid down by the Government in power. The rules, regulation or deregulation and the laws in force along with the subsidies, tariffs and import export policies are all important factors that determine the planning and strategies of an organization. The major purpose of business legislation include protection of companies from unfair competition, protection of consumers from unfair business practices and protection of the interests of society from unbridled business behavior. The legal environment becomes more complicated as organizations expand globally and face governmental structures quite different from those within their own country.

In this unit you will learn about the role governmental policies play in economic development. You will also read about the economic crisis the Indian economy faced in 1991 and the onset of subsequent economic reforms that ushered in an era of more open and liberal economic regime. The terms liberalization, privatization and globalization will also become clear to you and you will understand how the government's industrial policies have impacted the process of economic reforms in India.

**Objectives:**

After studying this unit, you should be able to:

- list the economic reforms in India
- recall the economic crisis of June 1991 and the commencement of the economic reform process.
- identify liberalization, privatization and globalization.
- demonstrate the trends towards the economic reform process in the light of the Industrial Policy.

**8.2 Regulatory Role of Government**

The Government plays a crucial role in the economy of a nation. Even the most open and liberal economies exist and function within the parameters laid down by governmental rules, regulations and laws. The extent and nature of State intervention may vary from country to country but one cannot ignore the role of government in economic development.

*The Government of a State has to perform three major functions which are as follows:*

- Basic Functions:** A government's basic function is to provide social, political, legal and economic stability to the people. These include the responsibility for ensuring measures for the public good such as the provision of property rights, Macroeconomic stability, control of infectious diseases, potable water, infrastructure, care for the underprivileged etc.
- Intermediate Functions:** These include the management of external factors such as pollution, regulation of monopolies and the provision of social insurance like pension etc. The Government functions as an intermediary in such areas.
- Activist Functions:** When the Government actively intervenes and takes steps and measures to stabilize the economy, to promote the

market forces and to redistribute assets and income, it plays an activist function.

*In order to carry out the functions pertaining to economic matters the Government plays four major roles in a nation's economy:*

- i) **Regulatory:** The Government may exercise direct control over the economy by exercising discretionary control over business units. It may also control business indirectly through fiscal policies, monetary incentives or penalties etc. Regulation may cover the whole gamut of a business venture, from entry into business through its conduct and finally its result and, at times, its exit. Regulation is very important in a market economy.
- ii) **Promotional:** Government can give a boost to business by providing better infrastructure and by adopting policies that are conducive to enterprise. In developing economies this role assumes crucial importance because of the need for speedy industrial and business development which requires that the Government provide the necessary infrastructure and facilitating organizations.
- iii) **Entrepreneurial:** Government may also establish business enterprises in the name of the State. Such enterprises are known as public sector units. In many developing and socialist nations, public sector plays a major role in economy. Direct involvement of the government in business is an important feature of socialist economies. Major sectors are owned and managed by the State.
- iv) **Planning:** Most economies, especially the developing ones are heavily dependent on the economic planning of the Government. Good economic governance requires thorough and economically sound planning for the proper utilization of national resources, especially scarce ones as well as prioritization of development objectives.

The following sections will demonstrate how the Government's policies impact a nation's economy through the example of India from the socialist beginnings after independence through the economic crisis of 1991 to the economic reforms that have given a new direction to Indian economy.

**Self Assessment Questions**

*State which of the following statements are true/ false?*

1. The extent and nature of State intervention may vary from country to country. (True/ False)
2. The government performs intermediary and activist functions in an economy. (True/ False)
3. The Government plays four major roles in an economy. (True/ False)

**8.3 Promotional Role of Government**

India was experiencing large and persistent macroeconomic imbalances since the eighties and this gradually grew to become the basic cause of the 1991 crisis that shook India's economy. The root of the problem was the large and growing fiscal imbalance. The consequent fiscal deficit was generated due to mounting government expenditure. The government borrowed heavily from the Reserve Bank of India. This heavy borrowing resulted in an expansionary impact on money supply and hence rate of inflation hit the roof.

Fiscal and trade deficit enjoy a dynamic relationship. Hence, the fiscal deficit caused large current account deficits in balance-of-payments. To overcome these, the government resorted to commercial borrowing and that further aggravated the problem of external indebtedness.

The gross fiscal deficit of the government rose from 9.0 percent of GDP in 1980-81 to 10.4 percent in 1985-86 and to 12.7 percent in 1990-91. As these deficits had to be met by borrowing, the internal debt of the government started to rise. It was 35 percent of GDP at the end of 1980-81 while it reached a peak of a whopping 53 percent of GDP at the end of 1990-91. Consequently, the interest payments rose from 2 percent of GDP and 10 percent of total government expenditure in 1980-81 to 4 percent of GDP and 20 percent of total government expenditure in 1990-91.

*To get a clear picture of the government expenditure it would be worthwhile to study it in the following three phases:*

- i) During the first phase, from 1974-75 to 1981-82, the per capita expenditure experienced some fluctuations, yet it grew at an average rate of 4.7 percent. The expenditure-GDP ratio increased from 18.9 percent in 1974-75 to 24.5 percent in 1981-82.

- ii) In phase two i.e, 1981-82 to 1986-87, the growth rate kept steady and was at 7.6 percent and still accelerating. As a result the expenditure-GDP ratio during these six years rose from 24.5 percent in 1981-82 to 30.5 percent in 1986-87.
- iii) In the third phase (1986-87 to 1990-91), however, the growth rate declined to a little below 5 percent and the expenditure-GDP ratio also declined and stood at 29.3 percent in 1990-91.

During the first phase, political uncertainties in the second half of the 1970s, and the oil shock of 1979-80 caused the per capita net national product to increase by a meager average of 1.5 percent per year from 1974-75 to 1981-82. The annual growth per capita (constant prices) revenues rose by only 3 percent. Obviously, the slow growing revenues could not sustain the high growing expenditure, yet expenditure kept growing.

The second phase (1981-82 to 1986-87) saw tremendous increase in the rate of growth of expenditure mainly due to the higher growth path adopted by the economy. While the per capita real NNP was at an average growth rate of 2.2 percent, the government revenues recorded an even higher rate of 5.7 percent. High growth rate was not the only contributing factor for higher revenue collection, the replacement of physical restrictions on import with tariffs also resulted in revenue buoyancy. Unlike the first phase, the political stability and increased revenues both caused a significant acceleration of government expenditures.

The third phase, however, saw an economic downturn. As mentioned earlier, the growth in government expenditure could not be sustained. There were a number of reasons for this lack of sustainability. These are:

- i) Buoyant revenue expenditure had to be met out of borrowed funds. At the same time because of relative price stability, the government could not go beyond certain levels of borrowing. The net liabilities of the government were at their peak at 12 percent of GDP in 1986-87 and the same year recorded RBI's highest net credit to government at very close 5 percent of GDP.
- ii) The Fourth Pay Commission report implementation caused yet another drain on resources which was further compounded by the unprecedented drought of 1987-88 necessitating diversion of resources

to meet relief expenditure and cause deceleration in revenue growth rate.

- iii) Huge amounts of interest payments added to the economic downturn. The phenomenal increase in revenue expenditure in 1980s was primarily due to interest payments. While this expenditure stood at 1.9 percent of GDP in 1980-81 the corresponding figures for 1990-91 was 4 percent. In terms of total expenditure it rose from 10 percent to 19 percent over the same time frame. The absolute figures for the corresponding time period were Rs. 22.5 billion in 1980-81 and Rs.199.4 billion in 1990-91. The increase was primarily due to increase in the volume of indebtedness as well as the effective rate of interest on government borrowings.
- iv) Increase in government expenditure saw tremendous growth, out beating both GDP and government revenues. The subsidies grew faster and the rate of cost recoveries declined. In absolute terms expenditure on subsidies rose from Rs.19.1 billion in 1980-81 to Rs. 107.2 billion in 1990-91. The worst part of the story was that all these expenditures were met through cost recoveries but by resorting to budget (fiscal) deficits.
- v) These fiscal imbalances which assumed grave proportions in mid 1980s had two important facets. At the outset the growth rate of expenditure was much higher than the growth rate of revenues which resulted in reduced resources for public investments. Furthermore, the increasing diversion of household savings to meet public consumption requirements not only reduced the resources available for private investment but also brought the public debt to unsustainable levels.
- vi) Another factor contributing to 1991 crisis was the linkage between the fiscal deficit and current account imbalances. The most significant and direct effect of a change in budgetary policy on current account could be witnessed by an increased expenditure on government imports and outflows on account of interest payments on external debt.

All these factors were bound to deteriorate the current account balance. This is exactly what happened. While the government could not put its import on low priority, the servicing of the external debt made things worse for India. Although the external imbalances came in the shape of two oil-shocks, yet the fact remains that growing fiscal and trade deficits were due

to faulty economic policies and practices of the Government. The trade account at the beginning of the second oil-shock was undergoing serious pressure and the trade deficit shot up to 3.4 percent of GDP between 1979-80 to 1990-91 against a corresponding figure of less than 1 percent during 1970-71 to 1977-78.

All this culminated in an unprecedented balance-of payments crisis in the year 1991. The current account deficit doubled from an annual average of \$ 2.3 billion or 2.2 percent of GDP during the second half of the 1980s. In order to meet these large and persistent current account deficits, large scale commercial borrowings were made coupled with contraction of short term debt. This, in turn aggravated the problem of external indebtedness. The external debt, inclusive of nonresident deposits rose from 12 percent of GDP at the end of 1980-81 to 23 percent of GDP at the end 1990-91. As a result, the debt service burden rose from 10 percent of current account receipts and 15 percent of export earnings in 1980-81 to 22 percent of current account receipts and 30 percent of export earnings in 1990-91.

However, all was not well at capital account either. The capital account of balance- of-payments was already under strain after 1986 with the bunching of repayment obligations to the IMF and some others. IMF repurchases were \$1.4 billion in 1987-88 & \$1.5 billion in 1988-89 and \$1.2 billion in 1989-90. Likewise the repayments to private creditors were also very large. In addition, the Gulf war worsened the situation by affecting export revenues and buying of oil from the spot market at high prices. According to a survey the oil bill of India for the year 1990-91 was \$6.0 billion compared to a bill of \$ 3.7 billion in 1989-90.

All the above jolted the balance-of-payments twice, once in January 1991 and again in June 1991. On both occasions, the government had to dip into the foreign exchange reserves. In the light of dropping forex reserves, the government had to resort to such measures as selling of stocks of gold to obtain foreign exchange, utilization of special facilities (CFF, CCFF and ESAF) of the IMF, and also emergency bilateral assistance from Japan and Germany among others.

In view of the economic crisis, the Government took a promotional role and introduced economic reforms that freed business enterprises from controls

and opportunities were provided to allow foreign investment and changes in the rules governing business.

The government thus managed to avoid defaulting in terms of meeting its debt service obligations and financing of imports. However, the crisis gave rise to a rethink of the economic policies which led to a number of reforms comprising policy measures for attaining macro stability and the resumption of growth via structural adjustment. The Industrial Policy Statement of July 24, 1991 marked the beginning of the process of freeing the Indian economy from official control, providing opportunities for allowing foreign direct investment, delicensing and varied other economically progressive reforms.

### Self Assessment Questions

*Fill in the blanks with appropriate words:*

4. India was experiencing large and persistent \_\_\_\_\_ since the eighties.
5. Fiscal and trade deficit enjoy a \_\_\_\_\_ relationship.
6. Government expenditure can be studied in \_\_\_\_\_ phases.

### 8.4 Participatory Role of Government

Post-independence in India the public sector dominated the economic development. Like many other countries, India followed a program of planned self-reliant development. This was to be expected from a strong nationalist political leadership, which had just achieved freedom from colonial dominance. Apart from this the prevailing trend in the developing countries at that time was heavily tilted towards public investment at a large scale, aimed at giving a big push to industrialization.

The entire strategy hinged on public investment as an engine of growth. Large fiscal deficit arising out of excessive government spending started ripping through the macroeconomic balance. India seemed to be trapped in the so called Hindu rate of growth of 3.5%. Despite the GDP rate of growth at 6.5% level in the 1980s, it was pretty evident that the Centre's fiscal deficit was lagging far behind it. The growing structural imbalances in the economy, the current deficit climbed over 2% of the GDP by the end of the 1980s. The inevitable result was the severe economic crisis of early June 1991.

The process of economic reforms or the changed interventional role of the government entailed the following: The government, now, had to think and



aim at harnessing the externalities of competitive efficiency for the process of economic development. Such a process has to encompass almost every sphere of a nation's economic life.

Structural reforms in the real sector aimed at allowing a greater interplay of a market-driven process of resource allocation and pricing. This involved the dismantling of the industrial licensing raj, price controls and an infusion of competition through the introduction of a larger number of players including foreign companies even in sectors which had hitherto remained government monopolies.

This step towards regulator liberalization had to be supported by a process of financial liberalization so as to enable the process of price discovery to guide the allocation of resources in the financial markets. Financial repression had to give way to financial liberalization. Our financial system had to mature from a mere channel to an active allocator of resources.

The Indian economy had to open up through a complementary process of trade liberalization and financial liberalization. This had to be tuned with the process of institutional reforms at home.

Indian Government started playing a proactive role post 1991 crisis which led to the following measures for addressing the macroeconomic and balance of payments crisis:

- i) Fiscal consolidation and limited tax reforms.
- ii) Removal of controls on industrial investment.
- iii) Relaxation on imports (other than consumer goods initially).
- iv) Reduction in import tariffs.
- v) Creation of a favorable environment for attracting foreign capital.
- vi) Prudent management of movements in foreign exchange rate.
- vii) Allowing market forces to play a major role in the determination of exchange rate.
- viii) Making the rupee convertible for current account transactions.
- ix) Opening of energy and telecommunication sectors to private investment both domestic and foreign.

Most of the nations today are moving towards the open global economy. The global market is becoming a reality. That makes the States' regulatory role even more crucial. The Government's policy on foreign direct

investment, import of technology and technical knowhow, industry and foreign trade and its fiscal policy all determine the business health of a nation.

Apart from the economic policies, political events also impact business. The Russian Revolution of 1917 and the establishment of Communism in the USSR impacted business and economy globally. Many countries (including India after it gained independence) gravitated towards some form of socialism as a Utopian ideal. The Great Depression of 1929 that devastated American and European economies also made it glaringly clear that the government has to play a crucial role in keeping the vagaries of market economies in check even in Capitalist economies.

The Second World War that brought many nations to the brink of economic ruin jolted the world and brought about a shift in the basic tenets of economic theory. It was widely agreed that a good economic policy must be based on the following three points:

- The need to provide welfare benefits to people who are deprived of regular income because of some reason or the other.
- The desirability of maintaining a judicious balance between public and private sector. (This implies that crucial sectors must be kept under Governmental control)
- The necessity to provide a macroeconomic environment which would ensure the growth of business, trade, commerce and economy of a nation.

It was the disintegration of the USSR in the late 1990s that finally made many nations that had stuck to socialism despite its drawbacks, take a step forward and start moving towards the open market economy. Privatization became the buzzword. The last two decades have seen an amazing shift in the global business growth. The hitherto protected economies like China and the socialist regulated economies like India have opened up and have become fast emerging major players on the global economic stage.

**Self Assessment Questions:**

7. The Hindu rate of growth was \_\_\_\_\_%.
8. India faced an economic crisis in \_\_\_\_\_.
9. The Great Depression that affected the American economy was in the year \_\_\_\_\_.

### 8.5 Conciliatory and Judicial Role of Government

India's decision to embrace a more open system of economic governance has started showing results and has placed India as a major player in the global economic arena. The concept of open economy is based on the philosophy of faith in the market forces and freedom of economic enterprise. Excessive government control and intervention can suppress economic growth. Therefore, economy must be freed of such shackles. Government must also reduce its presence in the public sector and should ensure that they are run on the lines of commercial viability. The changing economic face of the world necessitates that India keep pace with the changing trends. Fortunately, India is already well on its way on the path of economic reforms and progress. The role of the Government was to provide a judicial and legal system for the growth of free enterprise. The steps towards liberalization, privatization and globalization highlight the conciliatory and judicial role of the Government.

An ideal free and open economy is based on three principles which are as follows:

**Liberalization:** The process of liberating the economy from governmental regulations and control is known as Liberalization. This results in greater freedom for private enterprise that leads to faster economic growth. Over the last two decades, India has witnessed a gradual liberalization in many major sectors such as industry, infrastructure, banking, capital market, services and foreign trade. Liberalization allows flexibility and reduces cost. The process of liberalization is characterized by the following features:

- i) The end of the license raj.
- ii) Freedom from government clearance.
- iii) Freedom to public sector to access capital market.
- iv) Corporatization of public sector units.
- v) Freedom to corporate to buy back shares.
- vi) Increase in the investment ceiling of small scale enterprises.
- vii) Liberal tax structures for select sectors.
- viii) Permission to banks to enter insurance sector.
- ix) Relaxation in administered price mechanism.
- x) Freedom to transfer licenses and assets.
- xi) Removal of restrictions to move products.
- xii) Shifting from ad valorem excise tax to value added tax (VAT)

- xiii) Simplified and rational tax rate structures.
- xiv) Tax exemptions, concessions and holidays especially for new ventures.

**Privatization:** Privatization primarily means the transfer of government or publically owned ventures or assets into private hands. It also entails entrusting individuals and private economic units to take decisions regarding business, based on the trends in the market forces without governmental interference. Thus, Privatization means freedom to own and operate business ventures independently and to take independent business decisions. The process is known as marketization which is an integral part of privatization. In recent years many developing nations have gone in for privatization of public sector units.

*The process of privatization may be carried out in the following ways:*

- i) Sale of equity of public sector units, in full or in parts, to the private sector (Divestiture).
- ii) Decentralization of nationalized enterprises.
- iii) Franchising of public sector services.
- iv) Royalty linked licensing of technology from public sector units to private units.
- v) Privatization of management in government owned units.
- vi) Disinvestment in the public sector.
- vii) Opening of core public sectors to private players.

**Globalization:** The term 'open' primarily refers to opening up of the economy to the global economic forces and markets. The world today is moving towards a global economy. Thus globalization of a nation's economy has become necessary in today's economic scenario.

Globalization is the process by which diverse economies of the world become integrated through a global network of sharing and exchanging products, technology, international trade, investment, labor, information and economic culture. The integration of national economies into the international or global economy through trade, foreign direct investment, capital flow, spread of technology etc., helps all economies to benefit from the process. International banking and the remarkable progress in the field of information technology has helped the process of economic globalization. However, it must be borne in mind that though the terms liberalization, privatization and globalization broadly refer to freedom of operating in a

business environment that does not mean that the government has no role to play. Business organizations must operate within a framework laid down by the government in power. Even the most open and capitalist economies are governed by the laws and regulations laid down by the Government in power. The major purpose of business legislation includes protection of companies from unfair competition, protection of consumers from unfair business practices and protection of the interests of society from unbridled business behavior. The legal environment becomes more complicated as organizations expand globally and face governmental structures quite different from those within their own country.

You will read more about these processes in subsequent units.

### **Self Assessment Questions**

10. The process of dismantling governmental regulations and control is known as \_\_\_\_\_.
11. The process of sale of equity of public sector units to the private sector is \_\_\_\_\_.
12. State true/ false: The process of integrating with the global economy means the Government has no role to play. (True/ False)

### **8.6 Impact of India's Industrial Policy on Economic Reforms**

The Industrial Policy Statement of 1991 paved the way for ushering in economic reforms in India. The new policy aimed at pursuing a sound economic policy framework, encouragement of entrepreneurship, development of indigenous technology through investment in research and development, bringing in new technology, dismantling of the regulatory system, development of the capital markets and increased competitiveness. It also envisioned the spread of industrialization to backward areas through appropriate incentives, institutions and infrastructure investments.

The Statement also aimed at maintaining sustained growth in productivity, enhancing gainful employment and achieving optimal utilization of human resources as well as attaining international competitiveness, in order to transform India into a major player in the global arena. The focus of the Policy was to unshackle the Indian industry from bureaucratic controls. It was a landmark Statement that resulted in the following far-reaching economic reforms:

- i) The Industry Licensing Policy was substantially modified in order to ease restraints on business ventures. Industrial licensing was abolished for most industries, barring a few for reasons of security and strategic concerns or because of social and environmental issues. Compulsory licensing was required only in respect of 18 industries like coal and lignite, distillation and brewing of alcoholic drinks, cigars and cigarettes, drugs and pharmaceuticals, white goods and hazardous chemicals etc. The small scale sector continued to be protected. Norms for setting up industries (except for industries subject to compulsory licensing) in cities with more than one million population were further liberalized.
- ii) Foreign direct investment was accorded a significant role in policy announcements of 1991. Foreign direct investment (FDI) up to 51 percent foreign equity was allowed in high priority industries requiring large investments and advanced technology. Foreign equity up to 51 percent was also allowed in trading companies primarily engaged in export activities. These important initiatives were expected to provide a boost to investment besides providing access to high technology and marketing expertise of foreign companies.
- iii) With the objective of injecting technological dynamism in the Indian industry, the Government provided automatic approval for technological agreements related to high priority industries and eased procedures for hiring of foreign technical expertise.
- iv) Major initiatives were taken to restructure public sector units and to address issues like low productivity, over staffing, lack of technological upgradation and low rate of returns. In order to raise resources it was decided to offer the shareholding stake in PSUs to mutual funds, financial institutions, general public and workers. Similarly, in order to revive and rehabilitate chronically sick PSUs, It was also decided to refer non profitable units to the Board for Industrial and Financial Reconstruction (BIFR). The Policy also provided for greater managerial autonomy to the Governing Boards of PSUs.
- v) The pre-entry scrutiny of investment decisions of MRTP companies was abolished. The thrust of policy was more on controlling unfair and restrictive trade practices. The provisions restricting mergers, amalgamations and takeovers were also repealed. This was a result of

the realization that the Government's intervention in investment decisions of large companies through MRTP Act had proved to be detrimental to industrial growth.

**Industrial policy measures since 1991**

Ever since the ushering in of economic reforms, industrial policy measures and procedural simplifications have been reviewed on an ongoing basis. Presently, there are only six industries which require compulsory licensing. Similarly, there are only three industries reserved for the public sector.

Some of the important policy measures initiated since 1991 are as follows:

- i) Since 1991, foreign direct investment has been vigorously promoted. The new policy ensures liberal and transparent opportunities for foreign investments. The Reserve Bank of India's automatic approval route without any limit on the extent of foreign ownership has been made available to foreign investors. FDI up to 100 per cent has also been allowed under the automatic route for most manufacturing activities in Special Economic Zones (SEZs).
- ii) In 2004, the FDI limits in many sectors were raised significantly. The new limits were set at 74 percent in the private banking sector, at 100 percent in oil exploration, petroleum product pipelines and natural gas and LNG pipelines etc. In February 2005, the FDI ceiling in telecom sector in certain services was increased from 49 per cent to 74 per cent.
- iii) Protection of the small scale sector has been an important tenet of India's industrial policy. However, under the new economic policy the trend is towards gradual reservation. The number of items reserved for Small Scale Industry sector has been gradually reduced from 821 items at the end of March 1999 to 506 items as on April 6, 2005. These were further reduced by another 108 items in 2005-06. Presently, there are 41 reserved items.
- iv) Equity participation up to 24 per cent of the total shareholding in small scale units by other industrial undertakings has also been allowed to enable the small sector to access the capital market and encourage modernization and technological upgradation.

- v) Under the Competition Act 2002, the Competition Commission of India was set up in 2003 so as to prevent practices having adverse impact on competition in markets.
- vi) Steps were taken to reduce regional imbalances in industrial and economic growth, e.g. a new North-East Industrial Policy was announced in December 1997 for promoting industrialization in the North-Eastern region.
- vii) The focus of disinvestment process of PSUs has shifted from sale of minority stakes to strategic sales. Up to December 2004, PSUs have been divested to an extent of Rs. 478 billion.
- viii) Industry specific measures such as the Electricity Act 2003 have also been initiated. The act aimed at delicensing power generation. It is also intended to facilitate private sector participation in transmission and grid sector. Various policy measures have facilitated increased private sector participation in key infrastructure sectors such as telecommunication, roads and ports. Foreign equity participation up to 100 per cent has been allowed in construction and maintenance of roads and bridges.

These outward-looking development policies have encouraged free trade as well as free movement of capital, workers and enterprises. The focus has been on deregulating the Indian industry, enabling industrial restructuring, allowing the industry freedom and flexibility in responding to market forces and providing a business environment that facilitates and fosters overall industrial growth.

**Self Assessment Questions:**

13. Name the policy that marked the beginning of economic reforms in India.  
\_\_\_\_\_
14. State true/ false: The MRTP Act has been abolished. (True/ False)
15. Non profitable or sick units are referred to \_\_\_\_\_.

**8.7 Summary**

- The Government plays a crucial role in the economy of a nation. Even the most open and liberal economies exist and function within the parameters laid down by governmental rules, regulations and laws.



- The extent and nature of State intervention may vary from country to country but one cannot ignore the role of government in economic development. The government has to perform three functions, basic, intermediary and activist.
- In order to fulfill its economic functions the government plays four roles in the economy of a nation: regulatory, promotional, entrepreneurial and planning.
- India experienced its worst economic crisis in 1991. The crisis did not occur overnight. It was brewing because of persistent macroeconomic imbalances since the eighties and this gradually grew to become the basic cause of the 1991 crisis that shook India's economy.
- The root of the problem was the large and growing fiscal imbalance. The consequent fiscal deficit was generated due to mounting government expenditure. There were various interrelated causes for the crisis.
- However, there was one positive outcome of the crisis. It made the government revisit its economic policy and start the process of economic reforms.
- The process of economic reforms was ushered in with the Industrial Policy Statement of July 24, 1991. Finally, after going through the harrowing economic crisis of 1991, India decided to shed its socialist economic policy and to embrace a free and open system of economy, thus paving the way for India becoming a major economic player at the global level.
- Liberalization, privatization and globalization are the three pillars of economic reforms. Liberalization is the process of liberating the economy from governmental regulations and control. Privatization primarily means the transfer of government or publically owned ventures or assets into private hands. And globalization refers to opening up of the economy to the global economic forces and markets.
- The economic reforms that started in 1991 with outward-looking development policies have encouraged free trade as well as free movement of capital, workers and enterprises.
- The focus has been on deregulating the Indian industry, enabling industrial restructuring, allowing the industry freedom and flexibility in responding to market forces and providing a business environment that facilitates and fosters overall industrial growth.

### 8.8 Glossary

- **Structural reforms** – involved the dismantling of the industrial licensing raj, price controls and an infusion of competition through the introduction of a larger number of players including foreign companies even in sectors which had hitherto remained government monopolies.
- **Liberalization:** The process of liberating the economy from governmental regulations and control is known as Liberalization.
- **Privatization:** Privatization primarily means the transfer of government or publically owned ventures or assets into private hands.
- **Globalization:** The term 'open' primarily refers to opening up of the economy to the global economic forces and markets.
- **The Industrial Policy Statement of 1991** paved the way for ushering in economic reforms in India. The new policy aimed at pursuing a sound economic policy framework, encouragement of entrepreneurship, development of indigenous technology through investment in research and development, bringing in new technology, dismantling of the regulatory system, development of the capital markets and increased competitiveness.

### 8.9 Terminal Questions

1. What are the economic functions and roles of the government?
2. Discuss the causes of the economic crisis of 1991.
3. How have the economic reforms helped the Indian economy?
4. Write a note on the three pillars of free economy namely liberalization, privatization and globalization.

### 8.10 Answers

#### Self Assessment Questions

1. True
2. False
3. True
4. macroeconomic imbalances
5. dynamic
6. three
7. 3.5%

8. 1991
9. 1929
10. liberalization
11. divestiture
12. False
13. Industrial Policy Statement of 1991
14. True
15. BIFR

**Terminal Questions**

1. Refer to Section 8.2
2. Refer to Section 8.3
3. Refer to Section 8.6
4. Refer to Section 8.5

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